

Table 58.10 Trading Tactics

Trading Tactic	Explanation	
Measure rule	Used to find a target price. Take the difference between the scallop's high and low. Add this difference to the scallop's high. The result is the target price. The bottom portion of the table shows how often price reaches the target using various heights in the calculation.	
Search for nearby support and resistance	Trendlines, chart pattern boundaries, minor highs and minor lows, round numbers, and horizontal consolidation regions all contribute to support and resistance zones. Gaps? Not so much.	
Wait for confirmation	Buy only after price closes above the pattern's high.	
Stop location	See Table 58.7 for guidance.	
Series height and width	Scallops may signal the end of an uptrend if their shape gets shorter or narrower.	
Description	Bull Market	Bear Market
Percentage reaching half height target	81%	76%
Percentage reaching full height target	64%	53%
Percentage reaching 2× height	42%	22%
Percentage reaching 3× height	29%	8%